Balance Sheet as on 31st December, 2016

Liabilities	₹	₹	Assets	Debit ₹	Credit ₹
Capital	5,00,000				
Add: Interest on Capital	20,000	5,20,000			

(vii) Interest on drawings

Drawings represent the amount or goods withdrawn by the proprietor from the business for his personal use. As business is separate from owner, interest charged on drawings, if any, is to be treated as business income.

Adjusting entry

Particulars		L.F.	Debit ₹	Credit ₹
Capital A/c	Dr.		xxx	
To Interest on drawings A/c				xxx
(Interest on drawings provided)				

Transfer entry

Particulars		L.F.	Debit ₹	Credit ₹
Interest on drawings A/c	Dr.		xxx	
To Profit and loss A/c				xxx
(Interest on drawings transferred)				

Presentation in final accounts

In Profit and loss A/c	Amount of interest on drawings is shown on the credit side as it is an income / gain.
In Balance Sheet	Amount of interest on drawings is deducted from the capital on the liabilities side of the balance sheet.

Example

The trial balance on 31st March, 2016 shows capital as ₹1,50,000 and drawings as ₹10,000. Adjustment: Charge interest on drawings at 4%.

Interest on drawings = ₹10,000 × 4/100 = ₹400. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016	Capital A/c	Dr.		400	
March 31	To Interest on drawings A/c				400
	(Interest on drawings provided)				

Transfer entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016	Interest on drawings A/c	Dr.		400	
Marh 31	To Profit and loss A/c				400
	(Interest on drawings transferred)				

In final accounts, it is presented as follows:

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